JURI 4170/6170 · FINTECH, PAYMENTS, AND DIGITAL ASSETS

Money Transmission

Session 9 · Monday, October 26, 2026 · HRH-A, 10:00–11:50

TODAY

A company that went public while two states decided whether it was a bank. Then the statute that would have told it.

PACKET

Documents 1–8. Most of the morning is worked from the text of Document 5.

> “Considering the foregoing, the Banking Department will interpose no objection at this time to your client offering PayPal services to New York customers without being licensed under Article XIII-B of the Banking Law. The Department reserves the right to amend its opinion should the manner in which PayPal operates changes from what is set forth in your letter. Unfortunately, the Department believes that PayPals option under which payment money is kept on account for future use constitutes illegal banking. Although this matter is one that may be resolved by the appropriate government agency in California, this Department believes that this option should not be offered to New York residents.”
>
> Steven Barras, Assistant Counsel · lo000718

“On February 7, 2002, Louisiana regulatory authorities sent a letter to our counsel directing us to cease performing money transmission services for Louisiana consumers and businesses at least until the unauthorized banking issue has been resolved.”

Risk Factors · “If we were found subject to or in violation of any laws or regulations governing money transmitters…”

The same day the registration statement went effective and the IPO priced at $13.00.

The condition for lifting it was the banking issue, not the license.

“Money transmission” means any of the following:

(1)

Selling or issuing **payment instruments** to a person located in this state.

(2)

Selling or issuing **stored value** to a person located in this state.

(3)

Receiving money for transmission from a person located in this state.

The term includes payroll processing services. The term does not include the provision solely of online or telecommunications services or network access.

Every defined term sends you to another one

Term	§	The words that decide it
Money	2.01(o)	a medium of exchange “authorized or adopted by the United States or a foreign government”
Monetary value	2.01(p)	a medium of exchange, “whether or not redeemable in money”
Stored value	2.01(aa)	monetary value representing a claim against the issuer, in electronic form, accepted for payment — but not a payment instrument, not closed loop, not a loyalty program
Closed loop	2.01(e)	redeemable by the issuer “only for goods or services provided by the issuer or its affiliate or franchisees”
Payment instrument	2.01(w)	a written or electronic check, draft, money order, traveler’s check “or other written or electronic instrument for the transmission or payment of money”
Receiving money for transmission	2.01(z)	receiving money or monetary value in the U.S. “for transmission within or outside the United States by electronic or other means”

2000 — WHAT NEW YORK ASKED

Does the company have offices, agents, or bank accounts in New York?

The company’s location. Comfort rested partly on PayPal having nothing in New York to regulate.



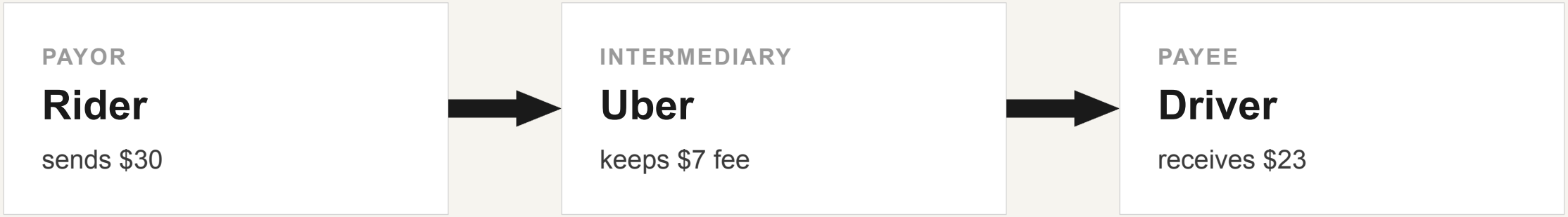
2021 — WHAT THE MODEL ACT ASKS

Where is the **customer**? Residential address, principal place of business, or the address on the account.

The customer’s location. The company’s is irrelevant.

A Georgia company with customers in 41 states is “in” 41 states.

A rider pays Uber $30. Uber keeps $7 and pays the driver $23.



On § 2.01(q)(3) alone, Uber received money from the rider and transmitted it to the driver. So is every ride-share, marketplace, and bill-pay service in America a money transmitter?

This [Act] does not apply to a person appointed as an agent of a payee to collect and process a payment from a payor to the payee for goods or services, other than money transmission itself, provided to the payor by the payee, provided that:

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(1) there exists a **written agreement** between the payee and the agent directing the agent to collect and process payments from payors on the payee's behalf;

(2) the payee **holds the agent out to the public** as accepting payments for goods or services on the payee's behalf; and

(3) payment for the goods and services is treated as received by the payee upon receipt by the agent so that **the payor's obligation is extinguished and there is no risk of loss to the payor** if the agent fails to remit the funds to the payee.

All three point at one question: is the payor discharged when the agent gets the money?

"A licensee shall maintain **at all times** permissible investments that have a market value … of **not less than the aggregate amount of all of its outstanding money transmission obligations**."

How much? 100%, every day. Not on average.

In what? § 10.04 — cash, insured deposits, Treasuries, AAA money funds, a letter of credit.

For whom? § 10.03(c) — held in trust for customers in insolvency, commingled or not.

A wallet holds $49 million for its customers. What must be true tonight?

§ 2.01(u)

Outstanding obligations

Every balance not yet redeemed; every payment not yet delivered or refunded. $49M.

→

§ 10.03(a)

Held against them

Permissible investments worth at least $49M, at all times.

→

§ 10.04

In what

Cash, insured deposits, Treasuries, AAA funds, CDs, a standby LOC. Not operating float.

→

§ 10.03(c)

For whom

In trust for customers in insolvency. Not subject to attachment by any other creditor.

Take $6 million out on Tuesday to make payroll and put it back Thursday. On Wednesday, which box is false?

the term “unlicensed money transmitting business” means a money transmitting business which affects interstate or foreign commerce in any manner or degree and—

> (A) is operated without an appropriate money transmitting license in a State where such operation is punishable as a misdemeanor or a felony under State law, **whether or not the defendant knew that the operation was required to be licensed or that the operation was so punishable**;

Before October 2001: a business “knowingly operated” without a state license.

After the USA PATRIOT Act: only the conduct must be knowing. Up to five years.

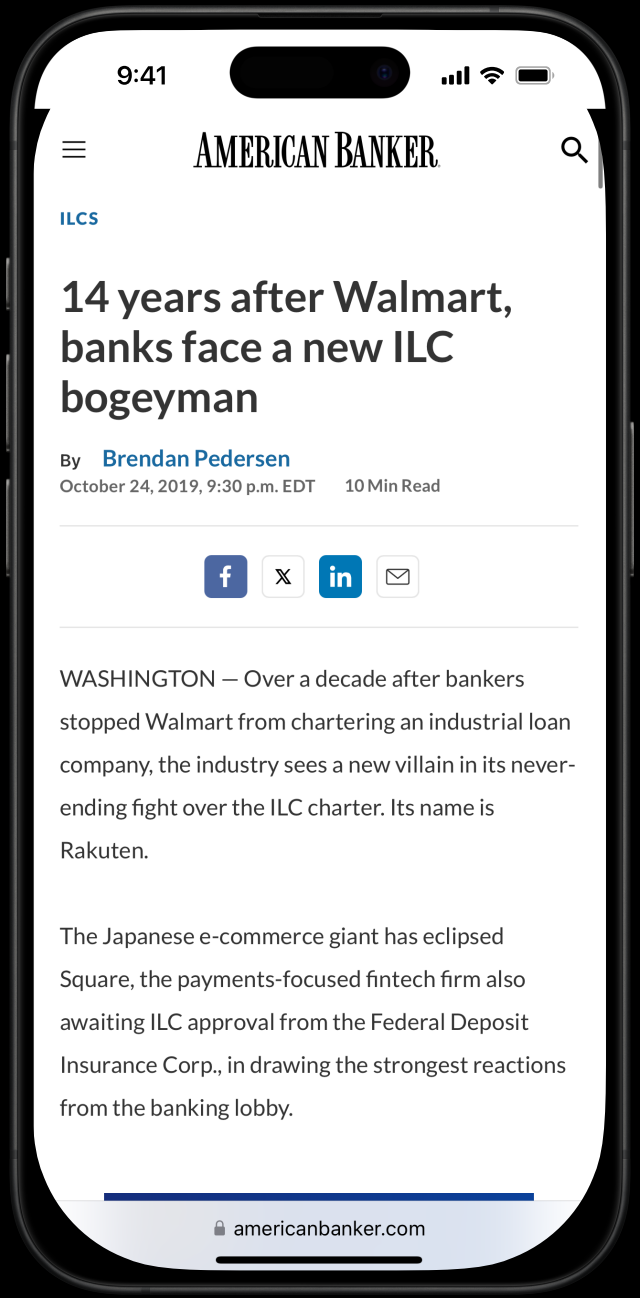
Registration is a reporting obligation. A license is permission.

Layer	Authority	What it requires	What it is not
State licensing	49 states + DC + territories; the MTMA in 35	A license per state before transmitting to its residents; net worth, bond, permissible investments, exams	Not reciprocal. NMLS is a filing pipe, not a regulator
Federal registration	FinCEN · 31 U.S.C. § 5330 · § 1010.100(ff)(5)	MSB registration, AML program, SAR and CTR filing, recordkeeping	Not a license. Authorizes nothing
Federal criminal	18 U.S.C. § 1960	Felony to operate without a required state license (A) or without FinCEN registration (B)	No knowledge of the licensing requirement needed under (A)

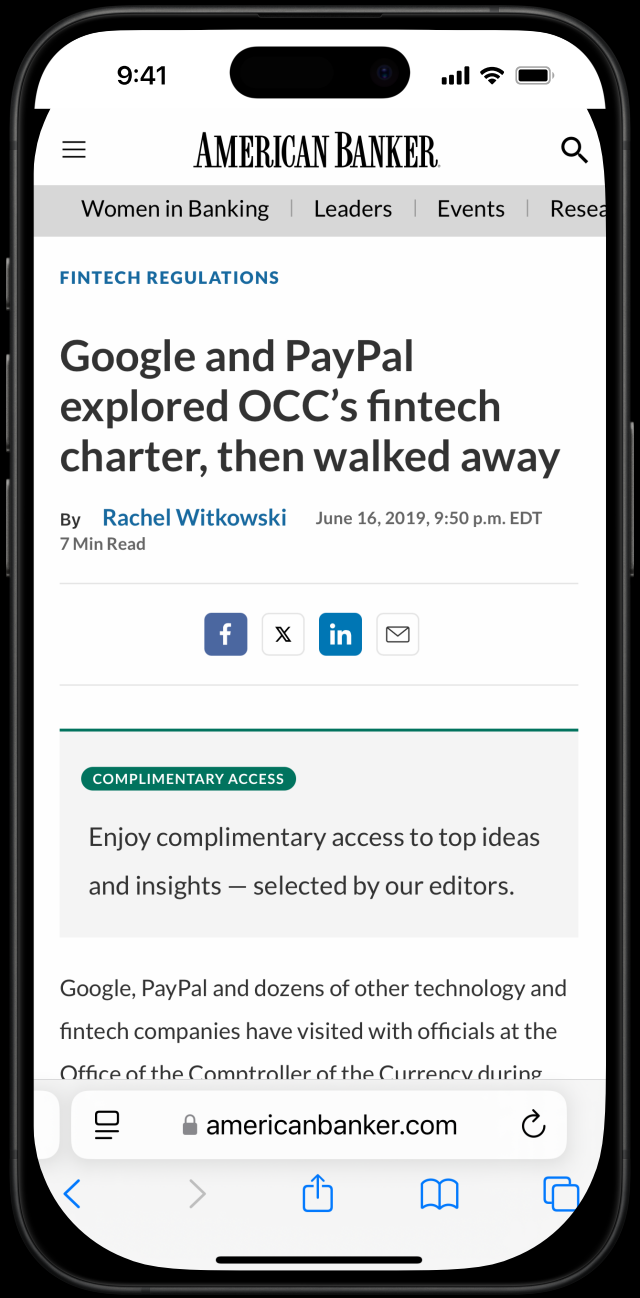
Federal exclusion, (ff)(5)(ii)(B): a payment processor acting “by agreement with the creditor or seller” through a clearance and settlement system.

State exemption, § 3.01(b): an agent of the payee, where the payor is discharged on payment to the agent. Different tests. A company can be out of one and in the other.

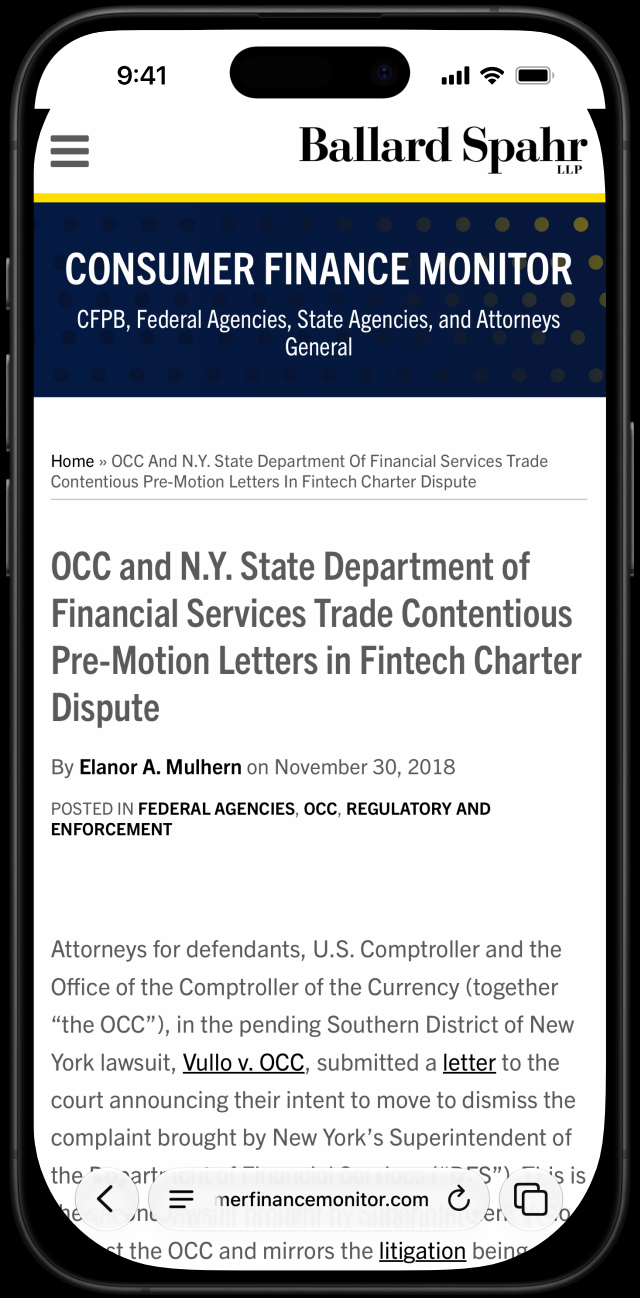
Thirty-five states have adopted the MTMA. How many licenses does a national wallet need today?



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U.S. state banking regulators drop lawsuit over fintech charters

By Jody Godoy

January 13, 2022 5:25 PM EST · Updated 3 years ago

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CRYPTOCURRENCY

Trump Family's World Liberty Financial Gets Preliminary Approval to Launch a Bank

The Office of the Comptroller of the Currency gives the flagship crypto venture a conditional approval to be a trust bank



Donald Trump Jr. and Eric Trump of World Liberty Financial cheer outside the Nasdaq building after ringing the opening bell last year. EDUARDO MUNOZ/REUTERS

By Vicky Ge Huang

Updated Aug. 15, 2026 3:39 pm EDT

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FINANCE

Community Banks Swing Back at Trump Regulators Over Crypto Charters

A lawsuit accuses regulators of giving risky crypto companies access to the banking system without the same oversight as banks



Jonathan Gould, comptroller of the currency, speaking a blockchain summit in March. AL DRAGO/BLOOMBERG NEWS

By Dylan Tokar
Oct. 2, 2026 5:47 pm EDT

▶ Listen (3 min)

Community bankers sued the Trump administration on Friday after regulators

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